18.8 KEY WORDS

Autarky	An economic system of self-sufficiency and limited trade. A country is said to be in a complete state of autarky if it has a closed economy, which means that it does not engage in international trade with any other country.
Duty credit scrip's	are paper authorisations that allow the holder to import inputs which are used to manufacture products that are exported, or to manufacture machinery used for producing such goods, without paying duty equivalent to the printed value of the scrip.
Export Houses	Export house status holders are Indian businesses that have excelled in international trade and made a significant contribution to the country's foreign exchange earnings.
Production-linked incentive schemes	offers a production linked incentive to boost domestic manufacturing and attract large investments in the sector. The scheme would tremendously boost the manufacturing landscape and establish India at the global level.
Status Holders	Business leaders who have excelled in international trade and have successfully contributed to India's foreign trade are proposed to be recognized as Status Holders and given special privileges to facilitate their trade transactions, in order to reduce their transaction costs and time.

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18.10 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check your progress 1

1) See section 18.2
2) See Section 18.2
3) See Section 18.3
4) See Section 18.3

Check your progress 2

1) See Section 18.4
2) See Section 18.4
3) See Section 18.4.1
4) See Section 18.4.2

Check your progress 3

1) See Section 18.5
2) See Section 18.5.2
3) See Section 18.5.2
4) See Section 18.5.1
5) See Section 18.5.3

UNIT 19 INDIA'S TRADE: TRENDS, COMPOSITION AND CHALLENGES *

Structure

19.0 OBJECTIVES

After studying this Unit, you should be able to:

- explain Pattern, Direction of India's Foreign Trade;
- explain composition of India's Foreign trade; and
- critically examine the challenges faced by Indian Foreign Trade.

19.1 INTRODUCTION

Foreign Trade plays a significant role in the development process of Indian Economy. Direction and composition and volume of Indian foreign trade have increased during post-independence period. However, the growth in foreign trade, cannot be said reasonable during initial period of planning because Indian share in total world trade has persisted remarkably low and it declined over the years. India's foreign Trade before independence was typically colonial and India use to export foodstuffs and raw material to the industrialised nations particularly to England and use to import manufactured goods. This dependency on imported manufactured goods did not permit industrialization in India and manufacturing exports from India declined at the time of British rule. After 1947, the colonial pattern of trade transformed to suit the requirements of a developing economy

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and India used to imports important machinery to create new capacity in some lines of production and to improve the overall production capacity of existing Indian manufacturing firms. These imports of machinery were called as developmental imports. Similarly, India used to import raw materials and intermediate goods to enhance process of industrialisation which is known as maintenance imports. The main objective of these two kinds of imports was to enhance domestic production within the Indian market. India also used to import consumer goods which was scarce in Indian market to control inflation rate in Indian economy. Therefor India's imports increased at a very fast rate after impendence and India's overall trade balance went into negative.

Since liberalisation of Indian Economy from 1991, its foreign trade has been increased multifold and there are significant structural shifts in commodities as well as geographical composition. Significant decline in quantitative restrictions and tariff levels across product lines improved India's foreign trade in the first two decades of post liberalisation. Though the size and composition of India's foreign trade improved during post-independence era, this increase in foreign trade is not satisfactory because India's share in total foreign trade of the world has remained remarkably low. Table 19.1 shows India's share in world exports from 1980 to 2020. The data reveals that in 1980, the India's share in the total world trade was 0.4 % which increased to 1.6% in 2020.

Table 19.1: India's share in World Exports

Year	India's share in World exports (in %)
1980	0.4
1985	0.5
1990	0.5
2000	0.7
2005	1.0
2010	1.5
2014	1.7
2015	1.6
2019	1.7
2020	1.6

Source: Economic Survey 2023

Over the years, India's trade links with many regions of the world has increased. Indian government has taken major initiatives to diversify its exports as also their destinations in its various foreign trade policies. India's foreign trade performance and pattern after independence for different planning years are explained below.

19.2 PATTERN OF INDIA'S FOREIGN TRADE AFTER INDEPENDENCE

This section explicates the pattern of India's foreign Trade after independence from 1947 by dividing entire period into important seven phases. This section describes the changing compensation of India's foreign Trade during various five-year plan.

1) **Before five-year planning period – 1947 to 1950**

   India's foreign trade after independence up to the planning period demonstrated increase in imports over exports. The main reason for growth in India's import was due to shortage of food and basic raw material like jute and cotton due to partition between India and Pakistan. Secondly, restrained demand due to war because of various controls and restrictions and thirdly due to higher demand for imported machinery and equipment to meet the rising demand for hydro-electric power plants and other projects during 1947-1950.

2) **1951—1955 First Five Year Plan**

   The records of India's foreign trade during first five-year plan indicates that annual average value of imports was ₹730 cr. and export value was ₹ 622 cr. with the trade deficit of ₹ 108 cr. The main reason for increment in trade deficit was because of more focus on industrialisation which increased imports of capital goods from India. Exports from India in the first five plan was stagnant.

Table 19.2: Annual Average Trade Balance During various Five Year Plans

Year	Exports (f.o.b)[1]	Imports (c.i.f)[2]	Balance of Trade
1950-1955	622	730	-108
1956-1960	613	1080	-467
1961-1965	747	1224	-477
1966-1968 (Annual Plan)	3708	5775	-2067
1969-1973	1810	1970	-162

[1]f.o.b refers to FREE ON BOARD (named port of shipment)The seller must themselves load the goods on board the ship nominated by the buyer, cost and risk being divided at ship's rail. The seller must clear the goods for export. Maritime transport only but NOT for multimodal sea transport in containers.

[2] C.i.f. refers to COST INSURANCE AND FREIGHT (named port of destination):Seller must pay the costs and freight includes insurance to bring the goods to the port of destination. However, risk is transferred to the buyer once the goods are loaded on the ship.

1974-1978	4728	5538	-810
1979-80 (Annual Plan)	6418	9142	-2724
1980-1984	8967	14683	-5716
1985-1990	17382	25112	-7730

Source: Reserve Bank of India, Handbook on Statistics on Indian Economy

3) **1956-1960- Second Five Year Plan**

Indian government initiated various strategies for upsurge in industrialisation within India in second five-year plan which augmented yet again India's import. During second year five-year plan, Indian government set up various new industries like steel plants also there was expansion of Indian railway track because of these initiatives India's average trade deficit increased to ₹ -467 cr. in second five-year plan. Foreign exchange crisis was serious issues during second five-year plan.

4) **1961-1965- Third Five Year Plan**

Annual Average Trade deficit during five-year plan was ₹-477cr. Total average exports from India was ₹ 613 cr. and average value of import was ₹1080 cr. The main reasons for increment of import in third five year plan was there was increment in defence expenditure due to fear of war and violent behaviour created by Pakistan and China, Secondly there was increment in imports of machinery, equipment, industrial raw material and technology know-how, and finally there was large number of import of food grains as it was easily available in the global market and there was extensive failure of crops in 1965-66 in India.

5) **1966 – 1973 Three Annual Plans and Fourth Five Year Plan**

Adverse trade deficit before fourth five-year plan induces shortage of foreign exchange in India. Therefore, Indian government extensively borrowed money from international institutions like IMF and World Bank to solve the problem of balance of payment. These increment in foreign borrowing and trade deficit prompted devaluation of Indian rupee by 36.5 % in June 1996.The main impact of devaluation of rupees was it increased the volume of exports and decreased the volume of imports and created favourable balance of trade and balance of payment. But these policy measure in India announced at the time of bad monsoon which is also followed by another drought in next year. Thus, overall impact of this policy was minimal. Although there was increment in the India's export in 1966-1967 but comparatively import from India increased more in that particular period. Thus, the overall average trade deficit was -689 during 1966-1968. After 1969 there was increment in exports and imports was declined due to import restriction. Government of India introduce various export promotion scheme after 1968 which created positive impact on India's trade balance. Therefore, there was positive balance of trade for the first time after independence in the year 1972 with the ₹+104 cr. of overall balance of trade. But this positive impact soon lost in 1973 due to increment in the prices of petroleum products, steel and non-ferrous metals, fertilizers and newsprint. Thus, the overall average balance of trade during fourth five-year plan was ₹162 cr. Overall the impact of Fourth five year plan positive compare to another five year and annual plan within India.

6) **1974- 1979 Fifth Five Year Plan:**

Pattern of world trade seriously affected after Oil crisis which was started in global economy after October 1973 and India was no exception for the same. The value of imports during fifth five-year plan reached to very high levels due to increment in the price of petroleum product and fertilisers and food grains. Overall average value of import in India increased to ₹ 5538 cr. compared to ₹ 1810 cr. during fourth five-year plan. During the fifth five-year plan value of export also increased due to increase in the export of cotton fabrics and readymade garments, handicrafts, fish, coffee, tea and ground nuts.

7) **1979-1984 Sixth five-year plan:**

There was significant increment in prices of petroleum products in the world market which increased import bill of India in the first two year of sixth five-year plan. There was decline in petroleum import after 1980-81 due to downward international prices of crude oil and domestic production of crude oil increased due to new exploration activities undertaken by ONGC. But non-petroleum imports from India increased in the same period and overall average trade balance was highest in the sixth five-year plan. Overall average value of export was ₹ 8967 cr and average import value was ₹ 14,683 cr. with the trade deficit of ₹ 5716 cr. during sixth five year plan.

8) **1985-1990 Seventh Five year plan :**

Policies of indiscriminate liberalisation undertaken by congress government and later recognized by Janta Dal government increased India's average import value to ₹ 25,112 during seventh five-year plan but the exports averaged at ₹ 17,382 crores. Thus, the first-time record annual average trade deficit of ₹ 7730 crores arisen during seventh five-year plan. This high trade deficit in trade balance forced Indian government to take loan from World Bank and IMF of over $ 6.7 billion. This deficit also forced government of India to apply brakes on the licensing policy of import licences.

9) **India's Foreign Trade after 1991 :**

Since 1991, the government of India adopted the policy of economic liberalisation, privatization and globalization to increase international trade of India. Devaluation of Indian rupee in 1991 and the convertibility of Indian rupee in trade account during 1993-94 and 1994-95 respectively improved the balance of trade position in 1993-94 with value of -33.50 ₹ billion. But the trade deficit again increased during the subsequent years which is explained by below table. Table 19.3 indicates the Export, Import and Trade balance of India after 1991 to 2016-17.

Table 19.3: India's Foreign Trade – After 1991

INDIA'S FOREIGN TRADE – AFTER 1991			
			(₹ Billion)
Year	**Exports**	**Imports**	**Trade Balance**
1991-92	**440.42**	**478.51**	**-38.09**
1992-93	**536.88**	**633.75**	**-96.86**
1993-94	**697.51**	**731.01**	**-33.50**
1994-95	**826.74**	**899.71**	**-72.97**
1995-96	**1063.53**	**1226.78**	**-163.25**
1996-97	**1188.17**	**1389.20**	**-201.03**
1997-98	**1301.01**	**1541.76**	**-240.76**
1998-99	**1397.53**	**1783.32**	**-385.79**
1999-00	**1595.61**	**2152.37**	**-556.75**
2000-01	**2035.71**	**2308.73**	**-273.02**
2001-02	**2090.18**	**2452.00**	**-361.82**
2002-03	**2551.37**	**2972.06**	**-420.69**
2003-04	**2933.67**	**3591.08**	**-657.41**
2004-05	**3753.40**	**5010.65**	**-1257.25**
2005-06	**4564.18**	**6604.09**	**-2039.91**
2006-07	**5717.79**	**8405.06**	**-2687.27**
2007-08	**6558.64**	**10123.12**	**-3564.48**
2008-09	**8407.55**	**13744.36**	**-5336.80**
2009-10	**8455.34**	**13637.36**	**-5182.02**
2010-11	**11429.22**	**16834.67**	**-5405.45**
2011-12	**14659.59**	**23454.63**	**-8795.04**
2012-13	**16343.18**	**26691.62**	**-10348.44**
2013-14	**19050.11**	**27154.34**	**-8104.23**

2014-15	**18964.45**	**27370.87**	**-8406.41**
2015-16	**17163.78**	**24902.98**	**-7739.20**
2016-17	**18540.96**	**25668.20**	**-7127.24**
2017-18	**303526.2**	**465581.0**	**-162054.8**
2018-19	**330078.1**	**514078.4**	**-184000.3**
2019-20	**313361.0**	**474709.3**	**-161348.2**
2020-21	**291808.5**	**394435.9**	**-102627.4**
2021-22	**422004.4**	**613052.1**	**-191047.7**

Source: Reserve Bank of India, Handbook of Statistics on Indian Economy.

Table 19.3 illustrates that the overall gap between export and import has increased and that leads to widening trade deficit of India. Trade deficit of India widens to -10348.44 ₹ Billion in 2012-13 According to Ministry of Commerce, this trade deficit widens largely due to lower demand in the United States and European markets created by global financial crisis in these two major trade partners of India. After 2012-13 Indian's trade balance improved as country's exports have crossed to 19050.11 ₹ Billion in 2013-14 while import of the country in the same financial year was 27154.34 ₹ Billion. In 2015-16 and 2016-17, India's trade balance further declined due to decrease in India's import India's trade deficit further decreased to 191047.7 in 2021-22. From 2015-16 to 2021-22 India's import increased from 24902.98 ₹ Billion to 613052.1₹ Billion. According to trading economies dataset, India's trade balance reflects sustained trade deficits since 1980 mostly due to the robust imports' growth, particularly of mineral fuels, oils and waxes and bituminous substances and pearls, precious and semi-precious stones and jewellery. In recent years, the largest trade deficits were documented with China, Switzerland, Saudi Arabia, Iraq and Indonesia. India records trade surpluses with the US, United Arab Emirates, Hong Kong, United Kingdom and Vietnam.

19.3 DIRECTION OF INDIA'S FOREIGN TRADE

The below table no 4 shows India direction of foreign trade from 2017-2018 to 2021-2022. The data reveals the major sources of Indian import and major destinations of Indian exports are across the globe. It is evident from the data that both export import values has increased continuously from the all the country groups. There has been significant market diversification in India's trade. Region-wise, while India's exports to Europe and America declined, its exports to Asia and Africa have increased. The data show major sources of Indian exports are OPEC countries followed by European Union. Petroleum products which are sourced from OPEC countries are the primary reason for this group to be among the top in the list. In India, we import the raw petroleum products and because of low labour cost these raw petroleum products are processed in India and again exported back to another destination. Therefore, India's trade basket